

Customer Segmentation using RFM Model - Business Recommendations Report

Executive Summary

This report uses the RFM framework to segment customers based on Recency, Frequency, and Monetary value for targeted marketing and retention strategies.

Key Findings

Champions and Loyal Customers generate the highest revenue. At-Risk and Lost Customers require immediate engagement strategies.

Customer Retention Recommendations

Launch personalized loyalty programs, reward repeat purchases, and strengthen customer engagement.

Marketing Recommendations

Create targeted campaigns for each customer segment and focus marketing spend on high-value customers.

Revenue Growth Opportunities

Upsell premium products to Champions and cross-sell to Loyal Customers.

Re-engagement Strategies

Offer discounts, reminders, and exclusive benefits to At-Risk and Lost Customers.

Expected Business Impact

Improved customer retention, increased revenue, stronger loyalty, and higher customer lifetime value.

Conclusion

The RFM dashboard enables data-driven customer segmentation and supports CRM and marketing decision-making.